

changes as we grow older, pay back our debts, invest in housing and other assets that might appreciate over time, and gradually approach the retirement years. While we continue to spend, our growing income allows us to accumulate savings. Our financial net worth peaks at the end of our working years and is gradually reduced as we continue to spend throughout retirement. We try and smooth our spending patterns and standard of living throughout these periods in our lives, and the generalized result is the shape illustrated in Figure 1.1. Remember that this is an economic hypothesis or theory and obviously doesn't imply that everyone behaves this way, nor does it mean that you personally should behave in this manner.

TABLE 1.7 Median Net Worth (Ranked by Income Percentile)

After-Tax Income in the Year 2004	Median Net Worth	Real Change from 2001
Less than 20%	\$7,400	−11.8%
20% to 39.9%	\$34,400	−16.3%
40% to 59.9%	\$72,500	+6.72%
60% to 79.9%	\$160,000	+6.69%
80% to 89.9%	\$313,900	+12.4%
90% to 100%	\$922,200	+3.75%

Source: U.S. Federal Reserve Consumer Finances Survey 2004, Table 3; IFID Centre calculations.

Real world data is, in fact, consistent with this hypothesis and is summarized in Table 1.8. Households where the main breadwinner is less than 35 years of age have the low median net worth of \$14,200. With each age group, you can see that the net worth figure rises substantially as we work toward our financial goals and retirement. The number peaks just prior to retirement with a median net worth of \$248,700 for the age 55–64 age group and falls to \$163,100 for the group above the age of 75. In other words, it seems that despite some notable exceptions, many individuals do, in fact, behave according to the axioms of the life cycle hypothesis. Stated differently, if you want to smooth your consumption over the course of your financial life—which makes sense on multiple levels—then your financial net worth will evolve similar to Figure 1.1.